



Necessary Expenses

$$\$4,166.67 \times 0.50 = \$2,083.34$$

This amount can be used for important expenses such as housing, food, transportation,

Discretionary Spending

$$\$4,166.67 \times 0.30 = \$1,250.00$$

This amount can be used for entertainment, hobbies, shopping, and other non-

Saving and Debt Repayment

$$\$4,166.67 \times 0.20 = \$833.33$$

This amount can be divided between paying the student loan and building savings.

This budget allows me to meet my basic needs while still having money for personal interests and financial goals.

Task 1: Budgeting

The scenario gives me a starting salary of **\$50,000 per year**.

Monthly Income

$$\$50,000 / 12 = \$4,166.67$$

My monthly income is approximately **\$4,167**.

Made by Derek Ronquillo with Apple Pages for Mac, version 13.2, on macOS Sequoia 15.7.8.

Category	Percentage	Monthly Amount
Necessary Expenses	50%	\$2,083.33
Discretionary Spending	30%	\$1,250.00
Saving and Debt Repayment	20%	\$833.33
Total	100%	\$4,166.66

Task 2: Investment Strategy

The scenario provides **\$10,000 in savings** as the initial investment.

The formula for calculating future value is:

$$\text{future_value} = \text{present_value} \times (1 + \text{interest_rate}) ^ \text{years}$$

The investment period is **10 years**.

1. High-Risk Stock Portfolio – 10%

$$\text{future_value} = \$10,000 \times (1 + 0.10) ^ 10$$

$$\text{future_value} = \$10,000 \times 2.59374246$$

$$\text{future_value} = \$25,937.42$$

After 10 years, the investment would be approximately **\$25,937.42**.

2. Low-Risk Bond Portfolio – 5%

$$\text{future_value} = \$10,000 \times (1 + 0.05) ^ 10$$

$$\text{future_value} = \$10,000 \times 1.62889463$$

$$\text{future_value} = \$16,288.95$$

After 10 years, the investment would be approximately **\$16,288.95**.

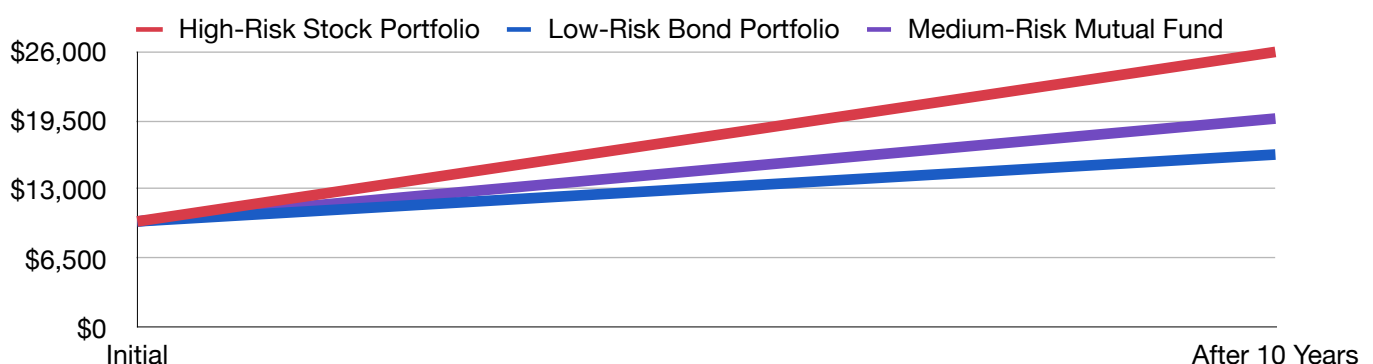
3. Medium-Risk Mutual Fund – 7%

$$\text{future_value} = \$10,000 \times (1 + 0.07) ^ 10$$

$$\text{future_value} = \$10,000 \times 1.96715136$$

$$\text{future_value} = \$19,671.51$$

After 10 years, the investment would be approximately **\$19,671.51**.



Investment	Risk Level	Expected ROI / Return	Future Value After 10Y
Stock Portfolio	HIGH	10%	\$25,937.42
Bond Portfolio	LOW	5%	\$16,288.95
Mutual Fund	MEDIUM	7%	\$19,671.51

Long-Term Investment Strategy

For a long-term strategy, I would choose a diversified approach rather than putting all of my savings into the highest-risk investment. A medium-risk mutual fund can provide a balance between potential growth and risk. I would also consider keeping part of my savings in lower-risk investments for financial stability. Since the goal is career sustainability, I would prioritize maintaining an emergency fund before investing all available savings. As my income increases, I could gradually increase the amount I invest while continuing to manage my expenses and debt.

Task 3: Debt Repayment

The student loan amount is **\$5,000**.

The annual interest rate is **6%**, and the repayment period is **5 years**.

Because the payment is monthly, the annual interest rate must first be converted to a monthly rate:

$$\text{Monthly interest rate} = 0.06 / 12 \\ = 0.005$$

The repayment period is:

$$5 \text{ years} \times 12 \text{ months} = 60 \text{ months}$$

The monthly payment formula is:

$$\text{monthly_payment} = \text{total_amount} \times \text{interest_rate} / (1 - (1 + \text{interest_rate}) ^ (-\text{years}))$$

Using the monthly rate and 60 monthly payments:

$$\text{monthly_payment} = \$5,000 \times 0.005 / (1 - (1 + 0.005) ^ (-60))$$

$$\text{monthly_payment} \approx \$96.66$$

Therefore, the estimated monthly student loan payment is **\$96.66**.

Over 60 months:

$$\$96.66 \times 60 = \$5,799.60$$

The total amount paid would be approximately **\$5,799.60**, meaning approximately **\$799.60** would be paid as interest over the five-year repayment period.

Debt Repayment Plan

I would include the estimated **\$96.66 monthly loan payment** within the 20% portion of my budget for savings and debt repayment. I would make the required payment every month and avoid taking on unnecessary additional debt. After the student loan is fully repaid, I would redirect the money previously used for the loan toward savings and investments. This would allow me to strengthen my financial position over time.

Conclusion

Financial literacy is important for maintaining career sustainability because earning an income is only one part of financial stability. A good budget helps control expenses, while saving and investing can provide financial security for the future. Based on the scenario, I would follow the 50/30/20 budget, maintain savings for emergencies, repay the \$5,000 student loan consistently, and use a diversified long-term investment strategy. This approach would allow me to manage my current financial responsibilities while also preparing for future career and financial goals.